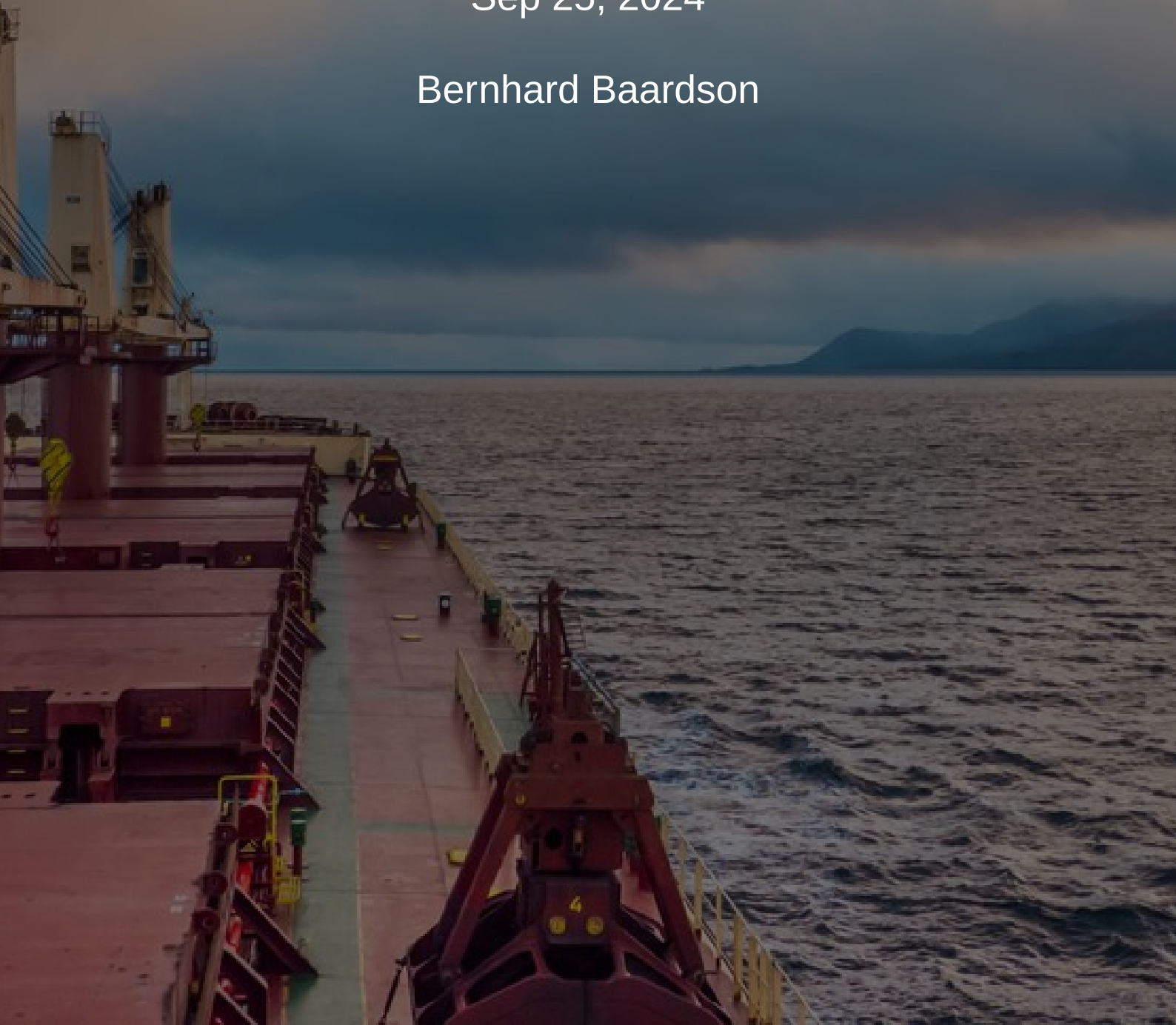


Fearnleys Dry Bulk Weekly

Sep 25, 2024

Bernhard Baardson



Capesize/Newcastlemax

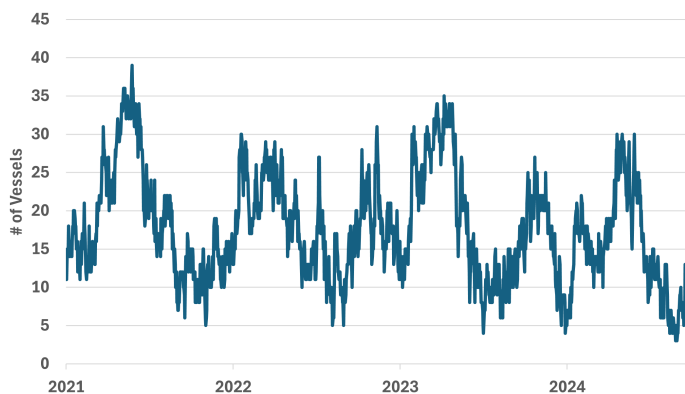
Last week, we wrote the following

Like the last two weeks, we still see bullish and bearish factors, making it hard to have a clear opinion on the near-term market direction.

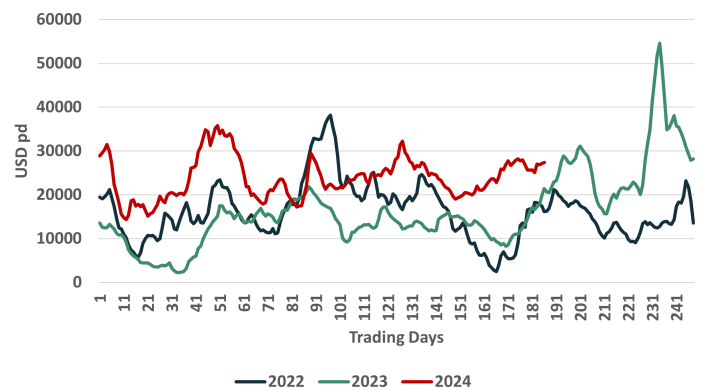
However, it looks like the bearish factors are about to outweigh the bullish factors. Seasonality suggests the market will drop in October, and reports from Platts says iron ore trading is quiet. That seems to be supported by data from MySteel, which shows that "Seaborne iron ore trading volume" spiked to 1.8 million tons last week, which has happened 20 times in the last two years. The stats show that the market was lower 80% of the time three weeks after such a spike.

There are holidays in China next week. The market peaked that week in 2020, 2021 and 2022. Last year it peaked during the second week of October. We expect a similar development this year.

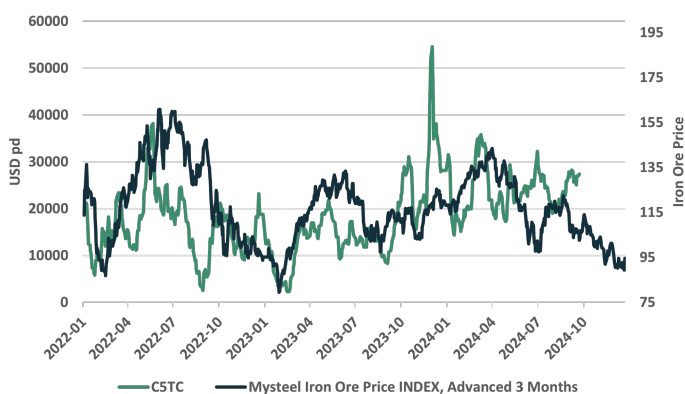
VLOC Brazil Congestion



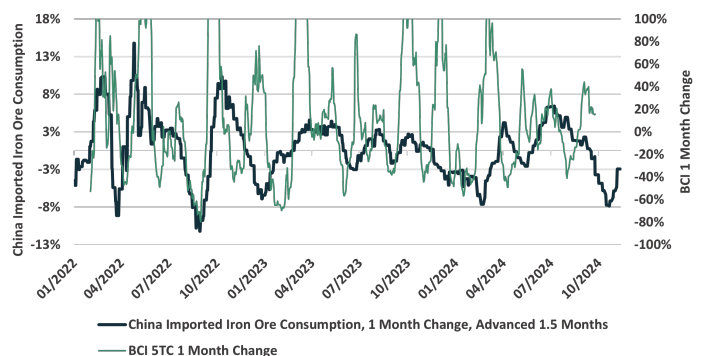
Baltic Capesize Index 2022, 2023 and 2024 YTD



Iron Ore Price Lead vs BCI5TC



China Imported Iron Ore Consumption Lead vs BCI5TC



Panamax/Kamsarmax

Last week, we wrote the following:

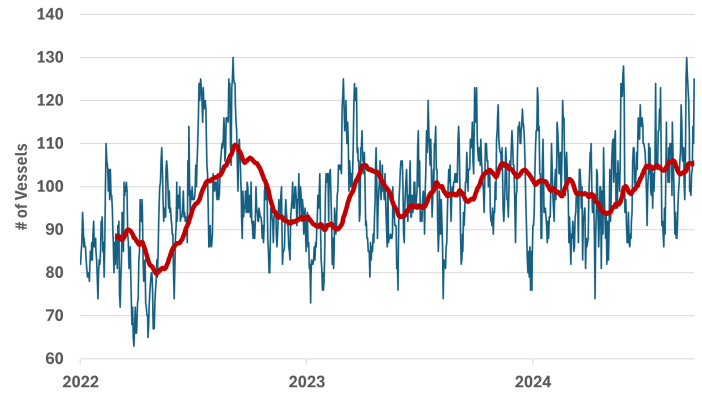
The market has risen, and if there is a "recoupling" with average seasonality, the uptrend will continue for 1 month before dropping off. Usually, the Kamsarmax index shoots above the Supramax index after having been below it, as has been the case in the last weeks.

Based on last week's comment, the index should rise above the Supramax 58 index. However, we do not think there will be a significant rally. The Atlantic remains weak, which could change given the ongoing US grains season. However, the main problem has been and still is industrial demand in Europe, which according to PMIs is in contraction.

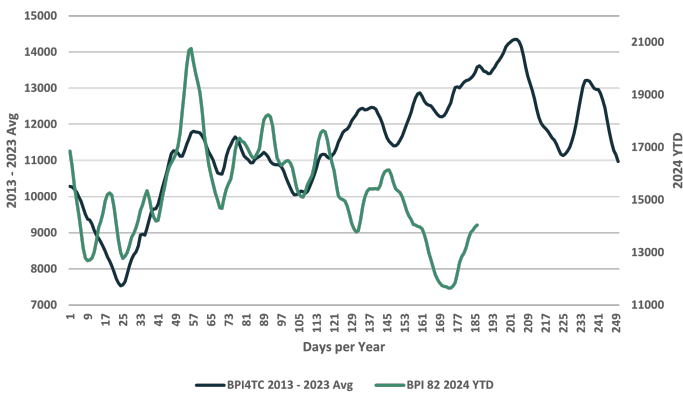
Panamax / Kamsarmax Heading to the US



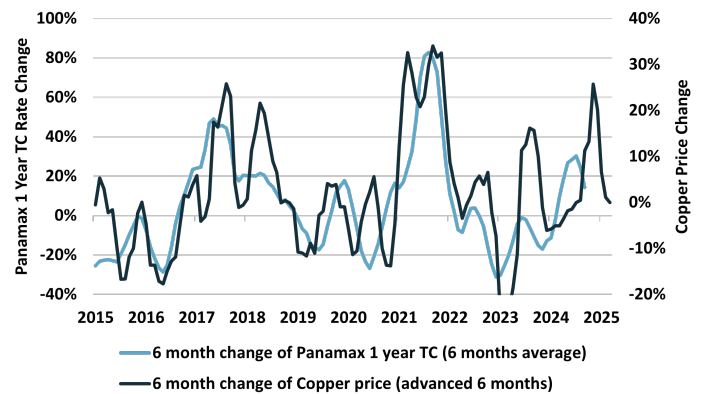
Panamax / Kamsarmax Heading to Indonesia



Panamax/Kamsarmax Seasonal Average Market Movement



Panamax 1 Year TC 6 Months Change vs Copper Price Lead



Supramax/Ultramax

Last week, we wrote the following:

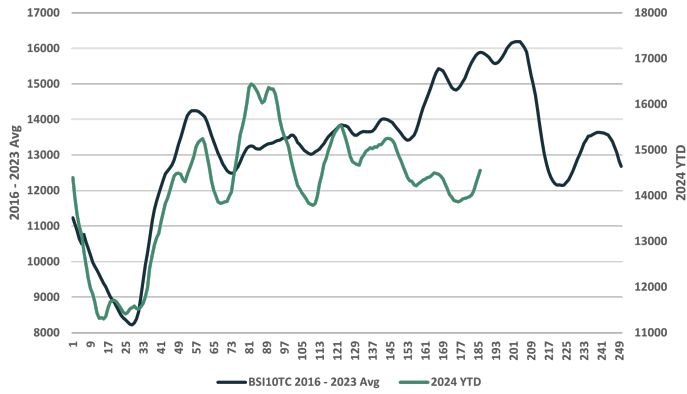
The market remains within a tight range, with no near-term factors swinging things significantly in either direction in the last months.

Macro indicators suggest Q4 will average higher than last year, which means the markets could rise from current levels. However, we do not see the potential for a significant rally, as this is not suggested by industrial metals prices.

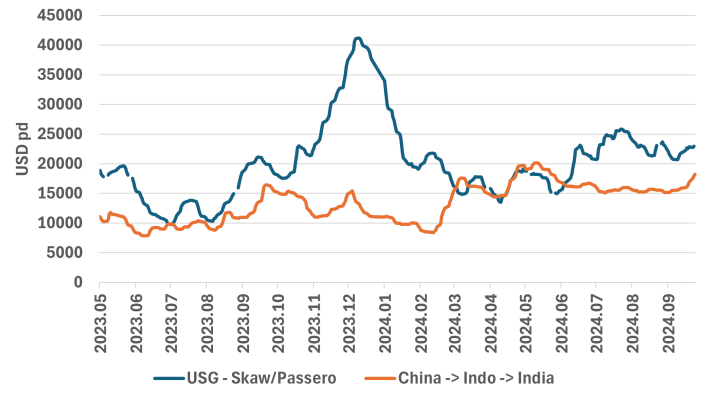
Spot markets have increased, so Q4 earnings averages will be higher this year than last year should indices remain around current levels.

A more significant rally does not seem likely, as the Atlantic is relatively weak, and industrial metals prices are not rallying, although China's stimulus announcement could be a trigger regarding the latter.

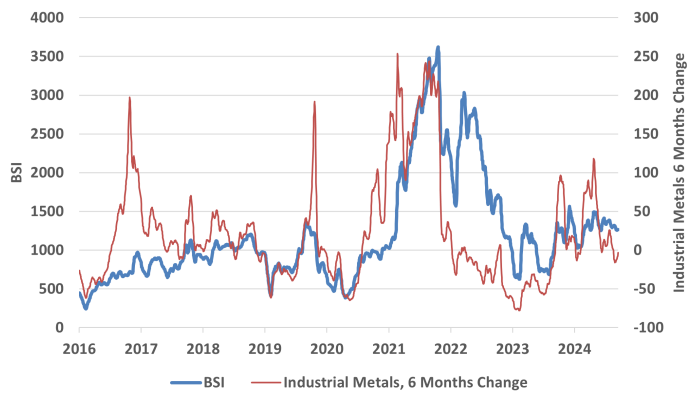
Supramax Seasonal Market Movement



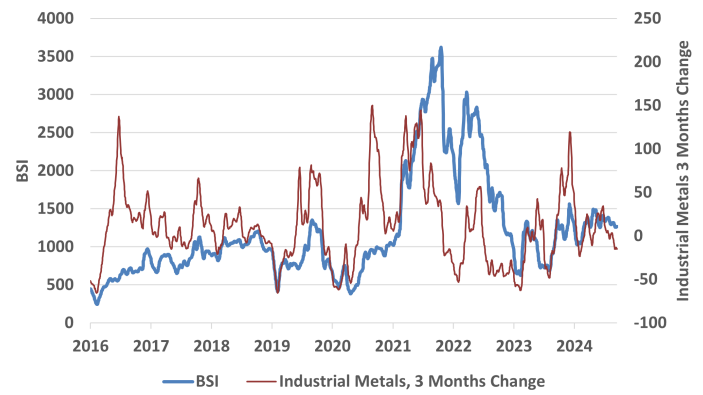
Ultramax S4A and S8



Industrial Metals Prices, 6 Months Change vs BSI



Industrial Metals Prices, 3 Months Change vs BSI





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